

ability in the past has remained a challenge, and concerns persist. As many as 37 per cent of respondents termed muted global growth and its impact on exports as the top challenge to corporate profitability, while 32 per cent rated subdued consumer demand as the main concern.

Higher-than-expected inflation is the chief concern for 19 per cent of the respondents, but only 41 per cent believe that the RBI may hike the interest rate in the next policy review. Pant of India Ratings also expects the status quo on rates to be maintained but rules out a cut in the interest rate this fiscal.

The biggest takeaway from the survey, however, remains the low confidence of micro enterprises that still seem to be struggling. Providing employment to a large chunk of the informal sector, the business confidence of micro entrepreneurs has remained subdued and below 50 for three consecutive quarters. In the June quarter, it only improved marginally to 49.7 from 48.2 in the previous quarter.

K.E. Raghunathan, National Chairman of the Association of Indian Entrepreneurs, notes that micro industries have been struggling since demonetisation, then the hasty implementation of GST, and after that the Covid-19 pandemic and lockdown. "The outlook for micro industries has not improved even after a year of almost normal economic activity. They have not received sufficient or any support or attention from the government or banks, forcing many to close down or move on to gig work," he points out.

Without an economic recovery across the board, business confidence may not rise significantly. The storm clouds may be clearing, but sunny skies are still some months away. **BT**

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HOTELS

Division Boost

By demerging its hotels business, ITC hopes to boost its capital allocation and profitability

BY ARNAB DUTTA

► SALT-TO-CIGARETTES MAJOR

ITC Ltd is spinning off its hotels division—after nurturing it for over two decades—into a separate company in an effort to accelerate its growth and improve resource allocation. The company's board has given its in-principle approval to the demerger, long-awaited by the company's shareholders and market experts. The board will still need to ratify the specifics of the demerger on August 14. According to the proposed structure, ITC's management would hold a 40 per cent stake in the newly established entity that will house its hotels assets and business, while the remaining 60 per cent will be owned directly by ITC shareholders

proportionate to their shareholding in the company.

Experts say the board's decision is pragmatic, based on the realities of the market. ITC had brought the hotels business under its fold in 2004 by merging the then-listed ITC Hotels Ltd and Ansal Hotels Ltd into it. But over the past few years, there has been a consistent outflow of money to finance the hotels division despite lower returns. As per estimates by Nuvama Institutional Equities, the hotels business currently "guzzles 20 per cent of (ITC's) capital". In comparison, it contributed ₹2,689 crore, or 3.5 per cent, to ITC's ₹76,518 crore top line. But at ₹852 crore, the hotels business contributes less than 3.5